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directors are dishonest, they may make personal gain at the expense of the company. They may misuse their power and position.

iii. Management oligarchy

A few rich persons may secure control over the affairs of the company. Thus, the management of a joint stock company might become oligarchic in character. (Oligarchy means a small group of people havimg control)

iv. Speculation

A few individuals may corner the shares to gain control over the company.

v. Lack of interest

The officers of the company do not have incentive to work hard. They are not usually inclined to take risks. They lack initiative.

vi. Lack of good labour relations

In sole trading business personal supervision is possible. But in company form of organization there is lack of personal contact between owners and workers. As a result, there is scope for more industrial disputes in a company form of organization.

vii. High taxation

Joint stock companies have to pay tax at higher rates compared to other forms of organizations.

6.02 Types of Companies

1. Classification of Companies on the Basis of Incorporation

a. Chartered Companies

Chartered companies are established by the King or Queen of a country. Powers and privileges of chartered company are specified in the charter. Power to cancel the charter is vested with King/Queen. Examples: East Indian Company, Bank of England, Hudson's Bay Company. The Companies Act does not apply to them. Such companies cannot be started in India.

